

2001 on Apple stocks, you would have turned that into \$500 000 in 20 years.

Until you sell those stocks, though, the capital gains aren't money in your pocket. This is called unrealised gains. It's basically like having a \$500 000 home that's worth \$600 000 now. You don't see that \$100 000 in cash in your account until you sell it. Investors often wonder about the best time to sell shares. Investors in training understand that, as a long-term investor, you don't sell shares as soon as they bring up capital gains; you hold on to them until you have reached your investing goal. For most of us, that goal is saving up for an earlier retirement, buying a home or putting money away for our children/family. It's not about making a quick buck in the market; it's about playing the long game.

Capital gains are what younger investors usually go for due to having more time on their side, making capital gains more likely. But other investors who want cash flow, aka a lump sum hitting their bank account four times a year, invest for dividends.

Dividends

Dividends are the other way you make money in the stock market, and they're a true form of passive income. It's basically how a company says thank you for holding their stocks in your portfolio; they pay you a small per cent of their profits, usually every quarter. The company's board of directors decides how much dividend to give, and they try and keep it consistent every time. And you still get dividends of companies if you hold them inside a mutual fund.

With dividends, there are three factors to consider, which I like to call the ABCs of dividends: Aristocrats, Burners and Calculations.

Aristocrats

Some companies hold themselves up to a high standard, and promise to provide dividends regularly. Aristocrats are dividend stocks that have consistently paid dividends every year to their investors for 25 years straight and include companies such as Coca-Cola and AT&T.